

Coupling Interpretable Allocation, Model-Predictive Control, and Tail-Aware Forecasting for Live Portfolio Management

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Outline

Live portfolio management couples three problems:
allocation, the timing of rebalancing, and evaluation beyond the historical record.

1	**Allocation**	**What to hold.** Maximize utility of a score γ for each stock, within trading limits.
2	**Rebalancing**	**When to trade.** Re-plan at the 21-day horizon, a band exit, or a drawdown stop; real-data backtest, 2025–26.
3	**Market generator**	**Evaluation.** A backtest is one historical path; JumpHMM generates typical and stressed futures.

Allocation: maximize utility subject to trading limits

Each rebalance chooses n_i shares of each name i to solve:

$$\max_{n \geq 0} \; U(n;\gamma)$$ utility U (γ_i: score of name i, next slide)

s.t. $\sum_i n_i S_i \leq W$ budget W (S_i: price of name i)

$w_i \leq \bar{w}$ single-name cap $\bar{w}$ (w_i: weight of name i)

$\sqrt{w^\top \Sigma_g \, w} \leq \sigma_{\text{SPY}}$ volatility cap σ_{SPY} (Σ_g: growth-rate covariance)

$\bar{c} \, \|n - n^{\text{prev}}\|_1 \leq B$ turnover budget B ($\bar{c}$: half spread per share)

$\beta^\top w \leq \bar{\beta}$ β cap $\bar{\beta}$, hedge on (β: beta to SPY)

	Cobb–Douglas	CES on shares	CES on weights	Stone–Geary
$U(n;\gamma)$, over $\gamma_i > 0$	$\sum \gamma_i \ln n_i$	$(\sum \gamma_i n_i^\rho)^{1/\rho}$	$(\sum \gamma_i w_i^\rho)^{1/\rho}$	$\sum \gamma_i \ln(n_i - b_i)$
budget alone	$w_i \propto \gamma_i$	$n_i \propto (\gamma_i / S_i)^\eta$	$w_i \propto \gamma_i^\eta$	$(n_i - b_i)\, S_i \propto \gamma_i$
with the limits	a convex cone program for each utility, solved numerically			

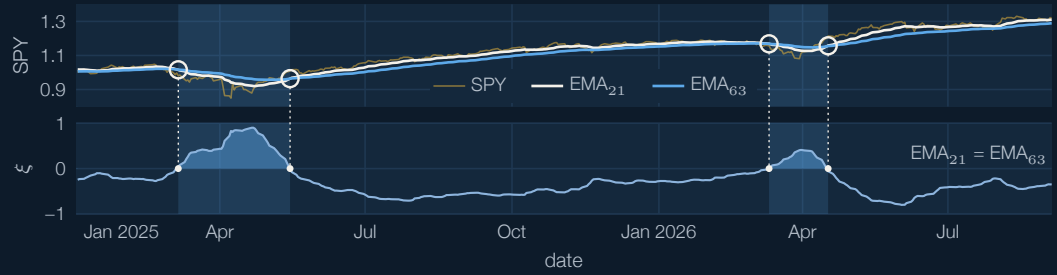
$\rho = 1 - 1/\eta$, $\eta = 0.5$; $b_i S_i = 1\%$ of W. Benchmarks under the same limits: minimum variance, tangency, 130/30.

The score γ: expected growth, tilted by the market

$$\gamma_i = \tanh\left(\frac{\alpha_i + \beta_i\,\tilde{g}_M}{\max(|\beta_i|,\,0.1)^{\xi}}\right)$$

expected growth (α_i, β_i: fit of name i to SPY; $\tilde{g}_M$: SPY's growth rate, 252-day EMA)

β penalty (ξ: market state, > 0 when $\text{EMA}_{21} < \text{EMA}_{63}$)



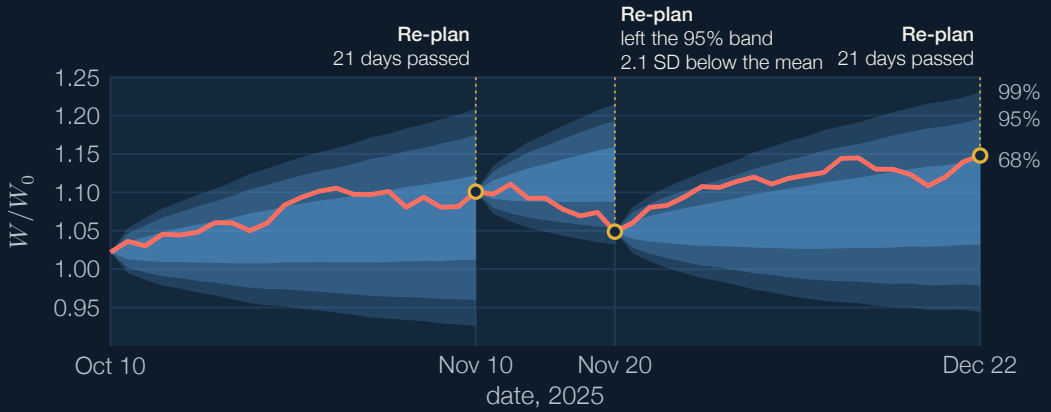
Weighting γ enters $U(n;\gamma)$: names with $\gamma_i > 0$ are held long, and 130/30 shorts $\gamma_i < 0$.

Selection the 13 highest γ overall, or the 3 highest in each sector.

$\xi = -G\,(\text{EMA}_{21}/\text{EMA}_{63} - 1)$ from SPY's 21- and 63-day exponential averages; $|\xi| \le 1$ on 99% of 2014–2024 days.

Rebalancing triggers: horizon, forecast band, drawdown

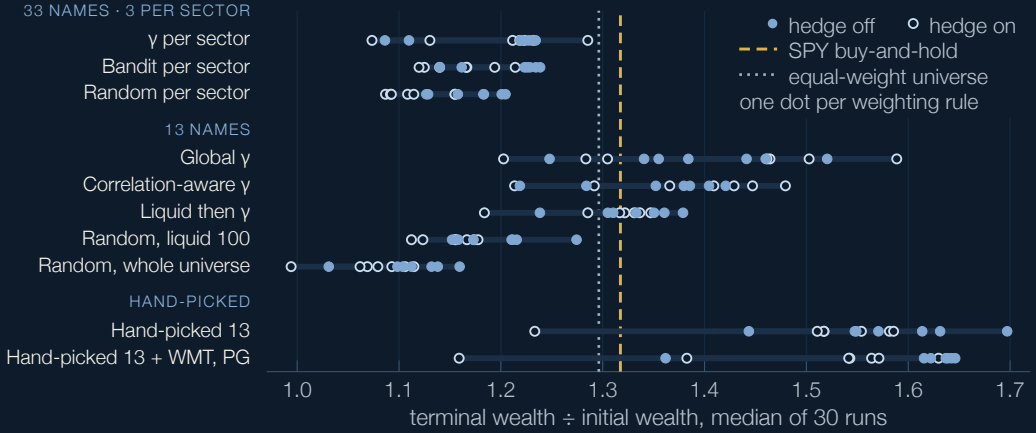
Forecast: multi-asset GBM, 1,000 paths, 21 trading days ahead. **Plant:** real prices.



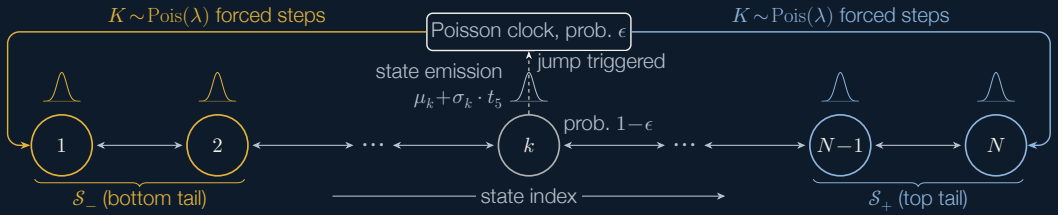
Hand-picked 13, Cobb–Douglas, hedge off; over Jan 2025 – Sep 2026, 27 re-plans, 10 before the horizon.

Stock selection matters more than the weighting rule

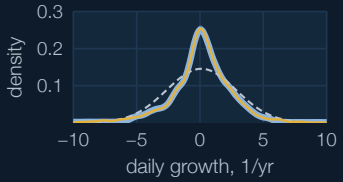
Real-data backtest, Jan 2025 – Sep 2026, 373 names. Each row is a selection rule.



JumpHMM: a market generator with fat tails



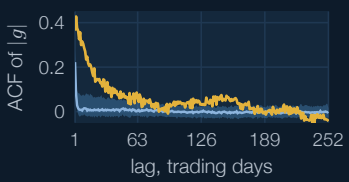
fat tails



tail quantiles

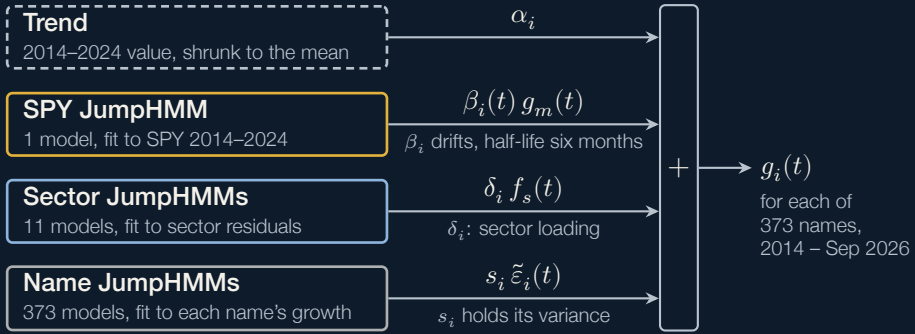


volatility clustering



From one market to 373 names

Three kinds of JumpHMM, composed into each name's daily growth rate.

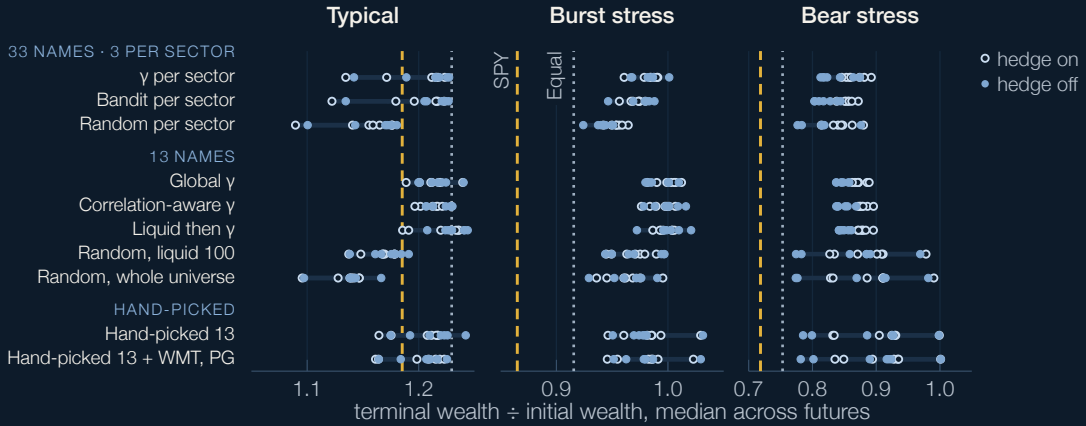


Residuals are not reordered: each keeps its own clustering and jump timing.

Each future: recalibrated on synthetic 2014–2024, traded on synthetic 2025–26.

Simulated sell-offs: every median ends above SPY

600 typical JumpHMM futures of Jan 2025 – Sep 2026, and 200 in each stress set.



Stress sets: of 10,000 paths, the 200 deepest SPY drawdowns with a jump burst, and the 200 without one.

Key takeaways

- **Allocation: stock selection mattered more than the weighting rule.** With the hedge off, seven weighting rules on one 33-name basket ended at 1.09–1.23 times initial wealth; different baskets ended at 1.03–1.70.
- **Rebalancing: re-plans came at the horizon, a band exit, or a drawdown stop.** About 27 re-plans in 419 trading days, a third of them before the 21-day horizon.
- **Evaluation: in both sell-off sets, every median ended above SPY.** JumpHMM reproduces fat tails, but its volatility clustering fades after a day. With the hedge off, 13 names picked by γ beat 13 random names in 62–71% of typical futures; in bear futures, random picks did as well or better for most rules.

A paper-trading version of this system is running now; its results are not part of this talk.

Acknowledgements

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helpful discussions

Evan Vu, class of 2026, now at Bridgewater
an early version of the Cobb–Douglas allocation and the bandit picker

We also thank Alpaca Markets.

Paper

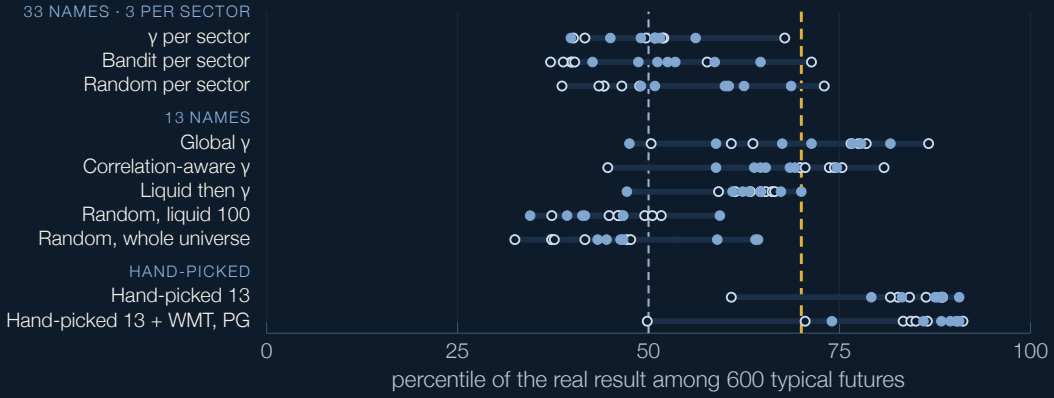
JumpHMM paper
arXiv:2603.10202

Code

github.com/varnerlab/INFORMS-Annual-Meeting-2026-Varnerlab

Real results as percentiles of typical futures

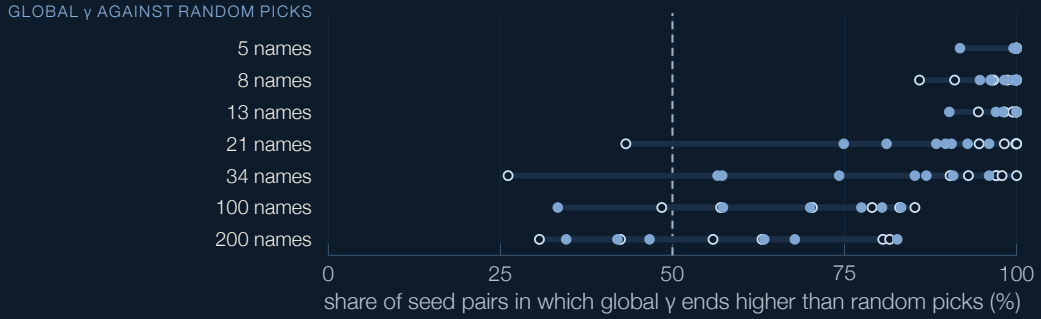
Each real result among 600 typical JumpHMM futures. Right of 50 beats the median future.



Real results use the simulated runs' seeds: 5660–5664 for random and bandit pickers, 5660 for the rest.

Global γ against random picks, 5 to 200 names

The K highest γ in the universe against K random names, from 5 to 200 names. At 50%, the two picks end higher equally often.



● hedge off ○ hedge on one dot per weighting rule

Real-data backtest, 30 runs each. Stone–Geary left out at 100 and 200 names: its 1%-per-name floor uses the whole budget at 100 names and twice the budget at 200.

Terminal wealth by picker and utility: hedge off

Picker	CD	CES	CESw	SG	MinVar	Tangent	LS
γ per sector	1.230	1.219	1.221	1.234	1.086	1.227	1.110
Bandit per sector	1.226	1.234	1.223	1.239	1.162	1.229	1.140
Random per sector	1.205	1.183	1.201	1.183	1.128	1.158	1.127
Global γ	1.520	1.384	1.460	1.441	1.355	1.341	1.248
Correlation-aware γ	1.352	1.386	1.421	1.380	1.284	1.404	1.219
Liquid then γ	1.333	1.310	1.379	1.350	1.238	1.361	1.305
Random, liquid 100	1.216	1.173	1.211	1.212	1.158	1.274	1.152
Random, whole universe	1.098	1.132	1.138	1.112	1.104	1.160	1.031
Hand-picked 13	1.548	1.571	1.614	1.631	1.443	1.697	1.549
Hand-picked 13 + WMT, PG	1.616	1.646	1.637	1.639	1.362	1.642	1.622
SPY buy-and-hold	1.317	1.317	1.317	1.317	1.317	1.317	1.317
equal-weight universe	1.296	1.296	1.296	1.296	1.296	1.296	1.296

Terminal wealth ÷ initial wealth, median of 30 runs. Real-data backtest, Jan 2025 – Sep 2026.
CD Cobb–Douglas · CES on shares · CESw CES on weights · SG Stone–Geary · MinVar minimum variance · Tangent the tangency portfolio · LS 130/30 long-short Cobb–Douglas.

Terminal wealth by picker and utility: hedge on

Picker	CD	CES	CESw	SG	MinVar	Tangent	LS
γ per sector	1.212	1.232	1.223	1.218	1.073	1.285	1.130
Bandit per sector	1.125	1.140	1.167	1.194	1.166	1.214	1.120
Random per sector	1.108	1.087	1.114	1.155	1.155	1.092	1.092
Global γ	1.503	1.305	1.464	1.461	1.203	1.589	1.283
Correlation-aware γ	1.409	1.429	1.479	1.447	1.213	1.366	1.292
Liquid then γ	1.322	1.285	1.347	1.331	1.184	1.317	1.336
Random, liquid 100	1.167	1.156	1.174	1.178	1.123	1.155	1.112
Random, whole universe	1.069	1.106	1.093	1.115	1.079	1.062	0.994
Hand-picked 13	1.554	1.517	1.517	1.511	1.233	1.582	1.586
Hand-picked 13 + WMT, PG	1.564	1.571	1.543	1.542	1.159	1.383	1.630
SPY buy-and-hold	1.317	1.317	1.317	1.317	1.317	1.317	1.317
equal-weight universe	1.296	1.296	1.296	1.296	1.296	1.296	1.296

Terminal wealth ÷ initial wealth, median of 30 runs. Real-data backtest, Jan 2025 – Sep 2026.
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